

LG ELECTRONICS

Revenues	2004-05	2005-06	2006-07
Global	\$34.7 bn	\$38.5 bn	\$43.8 bn
India	\$1.9 bn	\$2.1 bn	\$2.4 bn
India's share	5.47%	5.45%	6%

durable, chances are that the software will be Indian or that the software for your foreign bank has been coded by a geek sitting in Bangalore.

Clearly, India is on everyone's mind. A couple of years ago, India would be classified under the wave three category, wherein a product and service would come into the country only in the third phase, but now it's the place where banks premier their private banking products just the way auto makers launch their new world cars here first. For instance, Nokia India contributes 7.21 per cent to Nokia's net sales, while Standard Chartered Bank in India is the second largest contributor of profits to its parent at 17 per cent. Says Rajat Agarwal of Accenture: "Companies expect growth to come from emerging markets like India. There are enough and more success stories like Suzuki and Nokia to prove that it pays to be in India."

But it's not just by chance that India has become the second largest market for Nokia handsets and the largest market for Suzuki, which sold more cars in India than it did in Japan. While an ever-expanding middle-class is a great pull, ageing population in other developed markets of the world is a bigger push that's driving companies to hawk their "youthful" products in India. With the populations in the UK, the US and Japan ageing, the demand for fast cars and slinky mobile phones is on the decline in these markets. Evidently, Nokias and

BIG PICTURE:
Samsung looks at India as a major sourcing base

SAMSUNG

Revenues	2004-05	2005-06	2006-07
Global	\$56.7 bn	\$63.4 bn	\$103.4 bn
India	\$850.5 m	\$1.01 bn	\$1.75 bn
India's share	1.5%	1.6%	1.7%



SOFT POWER: India writes software for LG TV sets

"We expect LG India's share in global revenues to touch 10 per cent by 2010."

V. RAMACHANDRAN, DIRECTOR, LG INDIA

BMW's are courting India's young population.

With the economy clocking \$1 trillion in GDP last year, India is now among the top 15 largest dollar economies in the world. By 2015, India will be a \$2-trillion economy, leaving behind stalwarts like the UK and Japan. Consequently, it should be among the top 10 markets of most mega corps. Says Shivkumar, managing director of Nokia India: "Nokia saw the opportunity in India 12 years ago and invested in people and infrastructure then, when the market for mobiles was largely grey. It will be very difficult for global companies to ignore India." Nokia India's share is 7.21 per cent of the parent's net sales, which was 5.9 per cent in 2005.

Needless to say, if a company has to attain the numero uno status worldwide, it has to crack the Indian market first. For example, India's TV market is 6-7 per cent of the global market, thus is it important for consumer electronics to capture the largest possible share of this market. Explains Lee: "It is very important for Samsung to gain leadership in the Indian market in order to become number one in the global market." There are also several other factors that are compelling companies to focus even more on India. India's pool of engineers and graduates is drawing companies to outsource their technology development needs from India. Explains Naina Lal Kidwai, group general manager and country head of HSBC India, "In terms of contribution to profits, India is among the top 10 markets, but its contribution is not re-

"It's important to gain leadership in India to become No. 1 in the global market."

H. B. LEE, PRESIDENT, SAMSUNG SOUTH WEST ASIA